

Dynamic Macroeconomics II

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Fall 2023

Log-linearization and Uhlig's Method

Third Part

Version: October 31, 2023

- Download the programs from Uhlig's page: <https://voices.uchicago.edu/haralduhlig/code-and-material/>
- Version 4.3.
- File *exempl1.m* contains Hansen's model, as presented by Uhlig
- Declares parameters, computes steady-state values and solves the model.
- File *solve.m* is the most important routine since is the one that solves the model, while file *sol_out.m* displays the solution.
- Calculate impulse-response functions, second moments, correlations.

Let us:

- ➊ Go over a pdf I prepared commenting on an example by Uhlig.
- ➋ Run the code.
- ➌ Talk about one interpretation of the solution.
- ➍ See how to program impulse-response functions.